

PROJECT CHARTER

Digital Loan Application Optimization

Northstar Financial Services | Business Analysis Portfolio Project

1. Project Overview

Northstar Financial Services has identified a significant decline in customers completing its online loan application. This project will investigate the current application journey, identify evidence-based causes of abandonment, and recommend improvements while maintaining existing compliance and fraud-control requirements.

2. Business Problem

Online loan application completion has declined from 72% to 54%, creating increased application abandonment and longer customer processing times.

3. Business Objective

Increase online loan application completion from 54% to at least 70% while reducing application processing time toward an agreed management target, without weakening existing compliance or fraud-control requirements.

4. Scope

4.1 In Scope

- Online loan application process from application start/resume through submission.
- Application completion and abandonment.
- Application processing time and customer waiting time.
- Document upload and document-processing activities.
- Compliance-related processing within the online application journey.
- Application errors, upload failures, and session timeouts.
- Analysis of application data and process performance.
- Identification and validation of root causes.
- Recommendations for process and/or system improvements.

4.2 Out of Scope

- Changes to underlying fraud or compliance policies themselves.
- Changes to loan eligibility or underwriting policy.
- The broader loan processing lifecycle after the defined application scope.
- Offline loan application channels.

- Implementation of a specific technical solution before analysis and requirements validation.

5. Key Stakeholders

Stakeholder	Role	Initial Interest
Project Sponsor	Provides direction and funding/authority	Business outcome and value
Project Manager	Coordinates project delivery	Scope, schedule and delivery
Business Analyst	Investigates problem and defines requirements	Evidence, requirements and solution alignment
Product/Business Owner	Owns business process/product outcomes	Customer experience and completion
Compliance SME	Validates compliance requirements	Regulatory/control integrity
Technology Lead	Assesses technical feasibility	System constraints and implementation
Operations	Runs/ supports loan operations	Operational efficiency
QA/Test Team	Validates solution behavior	Testability and acceptance
Customers/End Users	Use the loan application	Ease, speed and successful completion

6. Success Metrics

Metric	Current Baseline	Target
Application completion	54%	≥70%
Application processing time	To be validated	To be agreed
Compliance/fraud controls	Current baseline	No deterioration

7. Known Constraints

- Initial analysis and recommendation are expected within 12 weeks.
- Existing compliance controls must be maintained.
- Existing fraud controls must be maintained.
- Recommendations must be supported by evidence and stakeholder validation.

8. Assumptions

- Relevant application and system data will be available for analysis.
- Key stakeholders and subject matter experts will be available for elicitation and validation.
- Existing process and system documentation can be obtained or reconstructed where necessary.
- Compliance and technology SMEs can validate findings and proposed requirements.

9. Initial Risks

- The decline may have multiple interacting causes rather than a single root cause.
- Data may be incomplete, inconsistent, or difficult to correlate across systems.
- Proposed improvements may introduce compliance, fraud, security, or technical risks.
- Stakeholders may have conflicting priorities.
- Technical constraints may limit feasible solution options.
- The 12-week timeline may constrain the scope of analysis or implementation.

10. High-Level Deliverables

- Project Charter
- Stakeholder Register and Stakeholder Analysis
- Elicitation Plan and Findings
- AS-IS Process Model
- Data Analysis and KPI Findings
- Root Cause / Evidence Analysis
- Gap Analysis
- TO-BE Process Model
- Business, Functional and System Requirements
- Business Rules and User Stories
- Requirements Traceability Matrix
- Change Request and Decision Analysis, where applicable
- UAT/Test Scenarios and Test Cases
- Final Business Recommendation
- Post-implementation KPI / Outcome Analysis

11. Governance Note

This charter is an initial baseline and may be refined as discovery progresses. New information, validated stakeholder input, and approved scope changes will be recorded through the appropriate project artifacts.

12. Document Control

Version	Date	Status	Prepared By
1.0	Initial Draft	Draft / Initiation	Kaoshal Rathod